

BEFORE THE
FEDERAL MARITIME COMMISSION

DOCKET NO. 24-19

PELOTON INTERACTIVE, INC.
Complainant

VERSUS

FLEXPORT INTERNATIONAL LLC,
Respondent

**RESPONDENT'S RESPONSE IN OPPOSITION TO PELOTON'S
MOTION TO COMPEL**

Respondent, Flexport International, LLC ("Flexport"), by and through the undersigned counsel, and pursuant to the Federal Maritime Commission's ("FMC") Rules of Practice and Procedure 46 C.F.R. § 502.150, hereby respectfully submits this Response in Opposition to Complainant Peloton Interactive, Inc.'s ("Peloton") Motion to Compel, and for the reasons more fully set forth herein, respectfully requests that the Presiding Officer deny Peloton's Motion and in support thereof states as follows:

BACKGROUND

The parties exchanged their initial interrogatories and requests for production on November 13, 2024. Flexport served its responses and objections on Peloton on December 13, 2024. In response to Peloton's requests, Flexport has produced 32,933 ESI documents totaling approximately 106,966 pages, along with a 94,193-line spreadsheet detailing each status update for each and every shipment at issue in this litigation, as well as thousands of additional documents including each invoice, bill of lading, and NRA for the thousands of shipments at issue.

A month later, at 10:30 am on Tuesday, January 14, 2025 (the day of filing), counsel for Peloton sent an email to the undersigned, demanding that Flexport respond by close of business the same day whether it would be withdrawing its objections and supplementing its discovery responses.¹ The undersigned promptly responded, noting that: (1) he was in depositions all day and thus could not respond by the “deadline”; and (2) such a demand could hardly be deemed a good faith meet and confer, particularly in light of the parties’ prior discussions.²

To be clear, as Peloton noted in its motion, on December 27, 2024, counsel for Peloton sent the undersigned an email outlining the purported deficiencies in Flexport’s responses. Peloton does not mention that December 27 was a Friday and that this email was sent at 5:18 pm. Peloton also neglects to mention that the parties had previously held a meet and confer as to the deficiencies of Flexport’s responses – during which counsel for Peloton advised that they did not in fact have any issues with Flexport’s responses. This was a surprise, since three days earlier counsel for Peloton had indicated that the undersigned should be prepared to address Flexport’s deficiencies at the meet and confer. In any event, the undersigned responded on January 3, 2025, including a detailed written response to each request and issue as outlined in Peloton’s December 27 email, ahead of the parties’ meet and confer which was to take place that afternoon.

At the conference, the parties discussed the issues with their respective responses. Importantly, Peloton did not want to discuss any particular requests or interrogatories, but instead wanted to handle the issues they claimed were generally raised by the responses. For each issue, the undersigned presented Flexport’s position. The parties then discussed each issue. This is where

¹ The entire email string is attached hereto as Exhibit “1”.

² The instant motion filed by Peloton is, unfortunately, just the latest example of the games being played by counsel for Peloton throughout the course of this litigation. Counsel for Peloton has repeatedly and brazenly breached its duties of candor to this tribunal and its responsibilities as officers of the Court. The multiple misrepresentations presented by counsel in this litigation have been designed solely to delay the resolution of this matter, waste the Commission’s time and resources, and rack up the expenses for Flexport. Peloton counsel’s certification and representations as to its good faith attempts to resolve this matter and Flexport’s responses are just outright false.

the good faith attempt by Peloton ends.

What counsel for Peloton neglects to include in their certification is that they specifically stated at the meet and confer that they understood Flexport's position and would consider same.³ To be crystal clear, when the meet and confer ended on January 3, 2025, Peloton was to re-evaluate their position and get back to the undersigned for further conference.

Yet, the undersigned heard nothing further from counsel until their email of January 14, 2025 – 11 days later – demanding a response within 6 hours. In good faith, the undersigned did respond, noting that he was in depositions all day and thus could not respond to this unreasonable deadline. Then Peloton just went ahead and filed their motion.

For these reasons alone – the utter lack of any good faith conference and the misrepresentation regarding same – the motion to compel should be summarily denied and Flexport should be awarded its fees for responding to same. In good faith, and in an abundance of caution, however, Flexport responds herein and in the attached Exhibit “2” to each of Peloton’s arguments.

LEGAL STANDARD

FMC Rules permit discovery “regarding any nonprivileged matter that is relevant to any party’s claim or defense.”⁴ However, “[i]t is fundamental that the scope of discovery is not limitless and is restricted by the concepts of relevancy.”⁵ “A party seeking discovery bears the

³ Peloton in fact did not include several requests in its Motion which it had previously insisted were “clearly relevant”, such as Flexport’s ESI capabilities and document retention policies. Peloton wisely abandoned its position, without any notice to Flexport. Peloton and then filed its motion to compel on most of the other requests that were still under discussion, again without any notice.

⁴ 46 C.F.R. § 502.141(e)(1).

⁵ *American President Lines, Ltd. v. Cyprus Mines Corp. and Cyprus Minerals Co.*, Docket No. 91-27, 26 S.R.R. 1227, 1234 (F.M.C. Jan. 31, 1994).

initial burden of demonstrating the requested discovery is relevant to its claim or defense.”⁶ “Once a relevancy objection has been raised, the party seeking discovery must demonstrate that the information sought to be compelled is discoverable.”⁷

DISCUSSION

Peloton’s Motion fails on a number of grounds. First, as noted above, the Motion fails to comply with the Presiding Officer’s May 13, 2024, Initial Order, requiring parties to first make a good faith effort to resolve the dispute.⁸ The “meet and confer” obligation must constitute a sincere effort to resolve the dispute and be conducted in good faith. “The obligation to confer may not be satisfied by perfunctory action, but requires a good faith effort to resolve the non-dispositive disputes that occur in the course of litigation.”⁹

Second, Flexport’s discovery responses are sufficient and compliant with the Commission’s Rules. Flexport provided responses to each of the discovery requests and, to the extent applicable, stated specific objections to certain requests, as it is entitled to do by the governing rules.

Third, Peloton fails to satisfy its burden in demonstrating that it is entitled to the discovery sought, including the relevance of each of the requests to which Flexport raised a relevancy objection.

A. Relevancy Standard.

It is important to highlight at the outset that Peloton incorrectly cites the applicable burden

⁶ *Lakeview Pharmacy of Racine, Inc. v. Catamaran Corp.*, 2017 U.S. Dist. LEXIS 163624, at* 12 (M.D. Pa. Sep. 28, 2017) (quoting *CedarCrestone, Inc. v. Affiliated Computer Services LLC*, No. 1:14-MC-0298, 2014 WL 3055355, at *4 (M.D. Pa. 2014)).

⁷ *Meijer, Inc. v. Warner Chilcott Holdings Co., III, Ltd.*, 245 F.R.D. 26, 30 (D.D.C. 2007).

⁸ See Doc No. 4.

⁹ *U.S. ex rel. Pogue v. Diabetes Treatment Centers of America, Inc.*, 235 F.R.D. 521, 529-30 (D.D.C. 2006); See also *Williams v. City of Rochester*, 2018 WL 739097, *1 (W.D.N.Y. 2018) (failure to meet and confer justifies denial of motion and an award of attorney’s fees).

of proof for demonstrating that a discovery request is calculated to seek relevant evidence. In its Motion, Peloton argues:

As the party resisting the production of documents, Flexport “bears the burden of establishing [a] lack of relevancy or undue burden” and that the requested information does not “come within the broad scope of relevance . . . or else [is] of such marginal relevance that the potential harm occasioned by discovery would outweigh the ordinary assumption in favor of broad disclosure.” Flexport has failed to meet this burden.¹⁰

However, this is no longer the standard followed by the Commission or the federal courts.

As explained by the Commission seven (7) years ago:

On September 28, 2012, the Commission issued revised rules of practice and procedure which sought to “modernize and more closely conform them to the current version of the [Federal Rules of Civil Procedure] and to encourage focused and expeditious use and completion of discovery.”

“A party seeking discovery bears the initial burden of demonstrating the requested discovery is relevant to its claim or defense....Once a relevancy objection has been raised, the party seeking discovery must demonstrate that the information sought to be compelled is discoverable.”¹¹

As such, it is Peloton, not Flexport, which has the initial burden to demonstrate the relevance of each of the requests to which Flexport raised a relevancy objection.

B. The “Relevant Time Period”.

In its Motion, Peloton argues that because its claim includes invoices issued in 2020, that Flexport should be required to produce documents starting January 1, 2020, onward. However, as the Commission reminded Peloton in its Order dated September 25, 2024: “[a] complaint seeking reparations must be filed within three years after the claim accrues.”¹² Given that Peloton filed its

¹⁰ Motion at p. 7 (citing *Maier Terminals LLC v. Port Auth. of New York and New Jersey*, Dkt. No. 08-03, (F.M.C. July 23, 2010)).

¹¹ *Port Elizabeth Terminal & Warehouse Corp. v. the Port Authority of New York and New Jersey*, Dkt. No. 17-07, (F.M.C. Nov. 30, 2017) (citing 77 Fed. Reg. 61519-61535 (FMC Docket 11-05) (and quoting *Lakeview Pharmacy of Racine, Inc.*, 2017 WL 4310221, at* 4 (citations omitted); *Meijer, Inc.*, 245 F.R.D. at 30.

¹² 46 C.F.R. § 502.62(a)(4)(iii).

Complaint seeking reparations on May 3, 2024, the relevant time period for discovery related to the claim of Flexport’s purported pattern and practice of unreasonable detention and demurrage charges begins in May of 2021 onward.

Incredibly, Peloton cites to *Inlet Fish*, for the proposition that “[w]hile the three-year statute of limitations applies to recovery of reparations, it is not intended to limit discovery, and it also does ‘*not apply to complaints seeking non-reparation orders.*’”¹³ Yet *Inlet Fish* does not say anything about limits of discovery at all! Rather, *Inlet Fish* instead discussed two issues: (1) the “discovery rule”; and (2) that claims seeking cease and desist orders for ongoing violations are not subject to the statute of limitations.

a. Applicable deadline under the discovery rule.

Regarding the “discovery rule”, *Inlet Fish* held, in line with the federal courts, that “a cause of action accrues when a party knew or should have known that it had a claim”.¹⁴ Notably, Peloton, as the party seeking the benefit of the discovery rule, “has the burden of showing that it falls within the exception by demonstrating that, even with the exercise of reasonable diligence, it could not have known of the purported injury” inflicted by the respondent within the limitations period.¹⁵ Peloton has not made any representation at all that it was not aware – or could not have been aware with the exercise of due diligence – of any Shipping Act violations for charges assessed prior to May, 2021. As such, Peloton has neither met its burden nor made any attempt to do so.

Indeed, Peloton’s argument only lends support to Flexport’s contention as previously raised that Peloton is engaged in nothing but a fishing expedition. As Peloton alleged in the

¹³ Motion at p. 5 (*quoting Inlet Fish Producers, Inc. v. Sea-Land Serv., Inc.*, 2001 WL 1632551 at *10 (F.M.C. Sept. 19, 2001)).

¹⁴ *Inlet Fish Producers, Inc.*, 2001 WL 1632551 at *11.

¹⁵ *Maher Terminals, LLC v. Port Authority of New York and New Jersey*, 2013 WL 9808667, at *4 (F.M.C. Jan. 31, 2013) (*citing Cathedral of Joy Baptist Church v. Village of Hazel Crest*, 22 F.3d 713 (7th Cir. 1994)).

Amended Complaint: “Not all facts necessary to determine the precise dates when certain of the charges listed in Exhibit A accrued for the purpose of reparation are known at this time and discovery in this proceeding will be necessary to ascertain such facts.”¹⁶ To be clear, Flexport produced all documents relating to every shipment for which charges were assessed as identified in Peloton’s Exhibit A.¹⁷ If Peloton knows which of these “certain” charges listed are at issue, it could identify same and Flexport can either confirm whether the relevant documents have been produced or it can search for such specific documents and produce same. Peloton has in its possession every bill of lading and invoice for every shipment and knows precisely when each shipment arrived and when D&D charges were assessed.

Nevertheless, the allegations of the Amended Complaint itself undermine any argument Peloton may have. Peloton’s entire claim is based upon the contention that, since Flexport agreed to provide transportation services on “store door” terms, then it was responsible for the payment of all demurrage and detention charges.¹⁸

Thus, based on its own allegations, Peloton’s cause of action accrued the moment it received Flexport’s invoices for with D&D charges that were purportedly the responsibility of Flexport to pay. In other words, if, as Peloton alleges, the shipments were under “store door” terms such that Flexport would be responsible for all demurrage and detention charges, then Peloton clearly would have been aware of the alleged Shipping Act violation the moment it was assessed any such charges.¹⁹

¹⁶ Amended Complaint at ¶ 37.

¹⁷ In good faith, Flexport produced all documents from April 1, 2021 on in order to ensure that the documents were provided for each shipment identified in Exhibit A. If it is Peloton’s position that Flexport assessed D&D charges in May, 2021 on a shipment which arrived in 2020, it needs to make that statement – and sign same in accordance with F.R.C.P. 11.

¹⁸ Amended Complaint at ¶¶ 17, 18, 34.

¹⁹ To the extent Peloton again attempts to modify its theory of recovery such that Flexport would be responsible to pay the demurrage and detention charges unless the delay was attributable to Peloton, then Peloton would still have known of the alleged violations – since clearly Peloton would have known of its own actions!

To be clear, Peloton does not seek reparations for a portion of the D&D charges assessed – rather, it seeks recovery for all such charges.²⁰ This is important because Peloton is not claiming that any particular charge was incorrectly assessed. Rather, Peloton is making a blanket claim for all such charges. As such, it is beyond any reasonable credibility that Peloton only realized years after the fact that it should not have paid any demurrage or detention at all since 2020. Yet, we do not even reach this inquiry because Peloton does not argue at all in its Motion that it was not aware of the alleged violations until after the expiration of the statute of limitations.

This proceeding is clearly distinguishable from *Inlet Fish* where the party therein was not aware of the violations until almost two years after the shipments. Here, Flexport consistently provided Peloton with invoices detailing its charges. Peloton then reviewed the invoices – by no fewer than seven (7) personnel – who approved and authorized payment for same.

Further, as Peloton’s own discovery production reveals, Peloton was well aware not only of the assessment of the D&D charges, but that Peloton, rather than Flexport, was responsible for causing same. Attached hereto as Exhibit “3” is a sampling of emails from Peloton’s production, which clearly shows the backlog of containers caused by its overproduction and its lack of ability to receive and unload same.²¹ Therefore, there can be no question as to when the cause of action accrued because it would correlate directly with the date Peloton received the invoice.

b. Peloton’s cease and desist claim.

Next, Peloton makes a half-hearted attempt to argue that the Amended Complaint also seeks a non-reparations order and, thus, the 3-year time bar would not be applicable.²² Yet, Peloton refers to but a single line in its “Prayer for Relief” at the end of its Amended Complaint, which

²⁰ Amended Complaint at ¶¶ 30, 31, 33.

²¹ The emails also reference Peloton’s review of the invoices. Flexport only provides a sample of the invoices produced solely for purposes of highlighting this fact. There are many, many more.

²² Motion at p. 5.

asks the Commission to order Flexport to “cease and desist from the unlawful conduct.”²³

This argument fails because Peloton does not allege that there are any ongoing acts being committed by Flexport to warrant a cease and desist order. Although Peloton relied upon *Maher Terminals* for the assertion of the incorrect burden of proof, it ignored another clear holding in that case that a shipper could not invoke the authority of the Commission to issue a cease and desist order when there are no allegations of any overt ongoing acts from which such authority can arise.²⁴ The Amended Complaint brings 3 counts. Counts II and III are for violations of OSRA-22 and thus, any claims prior to June 16, 2022 are time-barred. Count I only seeks reparations for the charges listed in Peloton’s Exhibit “A”, most of which were issued after May, 2021. No ongoing acts are alleged at all.

C. Specific Objections to Discovery Requests.

Peloton contends that Flexport’s objections are invalid boilerplate objections.²⁵ On the contrary, as is illustrated in Exhibit “2”, Flexport’s responses and objections were tailored to each request and detailed in their explanation. The objections may appear similar but that is because so many of the requests suffer from the same issue. Flexport addresses the general contentions below.

FMC Rules explicitly allow a party to respond to a request by stating an objection as long as the objection is stated with specificity.²⁶ Again, Peloton relies upon an outdated standard and fails to demonstrate the relevance of the requests. Indeed, Peloton’s arguments as to why the

²³ Amended Complaint at p. 13.

²⁴ *Maher Terminals* (2011) at * 6.

²⁵ It must be pointed out, however, that counsel for Peloton has some *chutzpa* for daring to claim that Flexport improperly asserted objections for vagueness and relevance, when Peloton’s response to every single discovery request propounded Flexport was replete with frivolous boilerplate objections, including that the requests were “harassing” somehow, implicated the attorney-client privilege when no legal claim was implicated or privilege log provided, in addition to the unsubstantiated “standard” boilerplate objection of vagueness, unduly burdensome, overly broad and not calculated to seek relevant evidence. It is the proverbial pot calling the kettle black. Except in this case, the kettle is sterling silver. These arguments are addressed in Flexport’s Motion to Compel.

²⁶ See 46 C.F.R. § 502.145(b)(4); 46 C.F.R. § 502.146(b)(2)(ii-iii).

requests are relevant are, essentially “because they are”.

Several of Peloton’s requests seek documents/information relating to Flexport’s relationship with third parties, particularly Flexport’s contracts with the underlying ocean and motor carriers and the amounts paid by Flexport to such entities. However, as the Commission has previously held, “[s]pecifics about each shipment and names of competing carriers are not relevant to determining whether [the respondent] violated the Shipping Act, would be burdensome to produce, and involve the disclosure of nonparty information.”²⁷ As Peloton alleges, the services provided by Flexport were provided in accordance with the terms of the agreements between the parties, including Master Service Agreements, NSAs and NRAs, which incorporated Flexport’s Rules Tariff.²⁸ As such, the only issue is whether Flexport assessed charges in line with these agreements. Flexport’s underlying agreements with its subcontractors and its costs incurred have no relevance to any claim in this litigation.

In a recent decision, the Commission in fact held that, even when an NVOCC merely passed through the charges from the ocean carrier, the shipper is still not entitled to the underlying invoices.²⁹ As such, if such documents would not be discoverable for pass-through charges, then clearly they would not be discoverable when the charges were based upon the NVOCC’s tariff.

Indeed, 46 U.S.C. § 40501(a)(1) specifically provides that a carrier “is not required to state separately or otherwise reveal in tariffs the inland divisions of a through rate.” (emphasis added)

Furthermore, Peloton also seeks documents regarding Flexport’s revenue and profits. However, Flexport’s profitability is simply not a factor to be considered in determining the reasonableness of a demurrage or detention charge. As recently held by Chief Judge Wirth,

²⁷ *Marine Transport Logistics, Inc., v. CMA CGM, S.A.*, Dkt. No. 22-23, 2024 WL 474879, at *4 (F.M.C. Jan. 31, 2024).

²⁸ Amended Complaint at ¶ 14.

²⁹ See *Bakery, LLC v. Seafrigo USA, Inc.*, Docket 22-17, Doc. 52 at p. 57 (F.M.C. Jan. 3, 2024).

“[m]aking a profit or increasing income, without more, would not violate the Shipping Act.”³⁰

With respect to Peloton’s requests that Flexport objected to on the grounds that same were vague, Peloton could have restated or clarified the requests, however, Peloton elected to simply conclude in its Motion that the request is “specific [and] comprehensible”.³¹ Peloton has failed to meet its burden in clarifying what it was seeking through these requests in order for Flexport to be compelled to provide a supplemental response.³² Additionally, as noted above, [s]pecifics about each shipment and names of competing carriers are not relevant to determining whether [the respondent] violated the Shipping Act, would be burdensome to produce, and involve the disclosure of nonparty information.”³³

CONCLUSION

For the reasons detailed above, Flexport respectfully requests that Peloton’s Motion be Denied and Flexport be awarded its costs and attorney’s fees in responding to same.

Dated: January 21, 2025

Respectfully submitted,

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³⁰ *Samsung Electronics America, Inc. v. ZIM Integrated Shipping Services Ltd.*, Dkt. No. 22-30, Order Denying Motion to Compel Deposition (F.M.C. June 9, 2023). It is also noted that counsel for Samsung is the same as counsel for Peloton in the instant case.

³¹ Motion at p. 9.

³² See *MSRF, Inc. v. Yang Ming Transport Co.*, Dkt. No. 22-21, 2023 WL 2240482, at *13 (F.M.C. Feb. 24, 2023).

³³ *Marine Transport Logistics, Inc.*, 2024 WL 474879, at *4.

CERTIFICATE OF SERVICE

I HEREBY CERTIFY that on January 21, 2025 a true and correct copy of the foregoing was served *via email* to all counsel of record in this matter.

SPECTOR RUBIN, P.A.

By: /s/ Robert Borak
Robert M. Borak, Esq.